GRADE 10 / Accounting / English

Keep the accounting equation in balance

01 Understand

Learning goals: Classify assets, equity and liabilities • Analyse a cash transaction • Check the accounting equation

The accounting equation is Assets = Owner’s equity + Liabilities. Every transaction must preserve this relationship.

Assets are controlled resources; liabilities are obligations. Capital contributed increases owner’s equity; drawings decrease it.

Buying an asset for cash changes the mix of assets without necessarily changing total assets. A loan increases both cash and liabilities.

A new business: transaction effects

Transaction	Assets change	Equity change	Liabilities change
Owner invests R10 000	+10 000	+10 000	0
Buy equipment for R3 000 cash	0 net	0	0
Borrow R2 000	+2 000	0	+2 000

02 Follow the reasoning

Calculate the balances after all three transactions in the table.

1. Cash = 10 000 − 3 000 + 2 000 = R9 000; equipment = R3 000.

2. Total assets = R12 000. Equity = R10 000 and liabilities = R2 000.

3. Check: 12 000 = 10 000 + 2 000. Equipment was not an expense in this purchase.

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Practise with purpose

03 Try before checking

Use paper or your notebook. Show your reasoning. For written responses, use evidence and explain your choices. Suggested time: 15–20 minutes.

1. The owner withdraws R500 cash for personal use. State the equation effects.

2. The business pays R200 cash for electricity. State the effects.

3. Why is a bank loan not income?

04 Check and correct

1. Assets decrease R500; equity decreases R500 through drawings; liabilities unchanged.

2. Assets and equity each decrease R200; electricity is an expense.

3. It must be repaid and creates a liability, rather than earned revenue.

Common mistake to avoid

Cash received is not always income: it can be capital, a loan or payment of an existing debtor.

Reflect and revisit

Identify one correction in your own words. Attempt a similar question tomorrow without looking at the guide. If you are still unsure, take your attempt to a teacher or tutor.

Coverage and sources

CAPS topic focus: Financial accounting: accounting equation and double entry

DBE CAPS, Grades 10–12: Accounting. Section 3 content and skills. This is a focused supplement, not a complete syllabus or prescribed literature replacement.

Open the official DBE curriculum reference

Content and visuals: original SmartBridge FET. AI-assisted authoring; subject-teacher and language-specialist review pending. Report an issue with the pack ID acc-10.